To the company issuing ADRs, it provides access to the American market. A company can, therefore, raise additional resources. To an American investor, it provides the opportunity to invest in stock of companies not listed in the US. Huge operational, custodial, and currency conversion issues can come into play if the ADR route is not used.

ADS CONVERSION OFFER

Conversion of local shares into American Depository Shares (ADS) of a company is called an ADS conversion offer. It is managed by investment bankers, mainly large investment banks familiar with Indian and global markets The offer allows local investors to convert their shares into ADS and then sell it in US markets. The proceeds of the sale in the US markets is distributed to Indian investors in rupees after deduction of expenses incurred in the process. The company does not issue any new shares. Existing shares are converted into ADS. The scheme obviously can only be offered by companies listed on the Indian and US markets which is the case for many large Indian corporates.

American Depository Shares are usually traded at a premium to the underlying (Indian) share price.

If the share conversion offer takes place through the stock market in India, investors pay no long-term capital gains tax. A 10 per cent short-term capital gains tax is applicable. Investors, however, have to pay the securities transaction tax in the process. However, if the offer is not through the stock market system, then investors have to pay 30 per cent short-term capital gains tax with surcharge or 10 per cent long-term capital gains tax as applicable. Investors do not have to pay any securities transaction tax.

Companies do not issue new shares. Thus, the offer does not lead to any dilution of equity and earnings per share. They are making this offer to satisfy the demand for ADS traded in US markets. This allows companies to have new investors and creates visibility on the US stock exchanges. They also satisfy the local investor by offering an opportunity to sell their shares at a higher price than available locally on the Indian bourses.